

suffer great and irreparable injury due to the continued closure of the Viet Museum, the disruption of funding, and the harm to the community for which no adequate remedy at law exists.” (FAC, ¶¶ 26, 27.) Defendants demurred on November 18, 2025.

II. DEMURRER

A. Legal Standard

The function of a demurrer is to test the legal sufficiency of a pleading. (*Trs. Of Capital Wholesale Elec. Etc. Fund v. Shearson Lehman Bros.* (1990) 221 Cal.App.3d 617, 621.) Consequently, “[a] demurrer reaches only to the contents of the pleading and such matters as may be considered under the doctrine of judicial notice.” (*South Shore Land Co. v. Petersen* (1964) 226 Cal.App.2d 725, 732, internal citations and quotations omitted; see also Code Civ. Proc., § 430.30, subd. (a).) “It is not the ordinary function of a demurrer to test the truth of the plaintiff’s allegations or the accuracy with which he describes the defendant’s conduct. ... Thus, ... the facts alleged in the pleading are deemed to be true, however improbable they may be.” (*Align Technology, Inc. v. Tran* (2009) 179 Cal.App.4th 949, 958, internal citations and quotations omitted.)

In ruling on a demurrer, the allegations of the complaint must be liberally construed, with a view to substantial justice between the parties. (*Glennen v. Allergan, Inc.* (2016) 247 Cal.App.4th 1, 6.) Nevertheless, while “[a] demurrer admits all facts properly pleaded, [it does] not [admit] contentions, deductions or conclusions of law or fact.” (*George v. Automobile Club of Southern California* (2011) 201 Cal.App.4th 1112, 1120.)

B. Analysis

At the outset, the court notes that in its Opposition to Defendants’ Demurrer, Plaintiff requests judicial notice of the following: (1) a complaint subsequently filed by Defendant in Santa Clara County Superior Court entitled *Cuong Nguyen, et al. v. Immigrant Resettlement and Cultural Center, Inc., et al.*, Case No. 25CV477278, filed October 10, 2025; (2) Defendants’ Case Management Statement in the present action, filed February 18, 2026; and (3) IRCC’s bylaws, corporate governance documents, and operative governing instruments referenced in and attached the FAC. The court grants each request for judicial notice. All three items are proper subjects of judicial notice because each is a court record within the meaning of Evidence Code section 452, subdivision (d). (Evid. Code, § 452, subd. (d) [judicial notice may be taken of “records of... any court of this state[.]”]; see also Evid. Code § 453 [judicial notice compulsory where adverse party has advance notice and sufficient information furnished to the court regarding the request].) Nevertheless, the complaint and the Case Management Statement referencing that complaint filed in another docket do not have any bearing on the matter currently before the court, which is the demurrer in *IRCC v. Cuong Nguyen*. IRCC’s bylaws, corporate governance documents, and operative governing instruments were referenced in and attached to the FAC and thus are also a court record within the meaning of Evidence Code section 452, subdivision (d). The request for judicial notice is granted.

Defendants demur on the basis that those suing on behalf of IRCC lack standing and therefore IRCC lacks capacity to sue. Defendants argue that according to the FAC, the election of the most recent Board of Directors failed to comply with IRCC’s own bylaws; thus, the new Board of Directors elected at that time do not have the authority to act as IRCC’s Board of

Directors and commence a lawsuit under Corporations Code sections 7211 and 5140. Defendants also argue that IRCC does not have standing to commence the instant action because only Defendants, as de facto Board Members, would have standing to act as IRCC and commence a suit.

Code of Civil Procedure section 367 provides that “[e]very action must be prosecuted in the name of the real party in interest, except as otherwise provided in statute.” (Code Civ. Proc., 367.) The plaintiff has the burden to establish standing. (*Amundson v. Catello* (2025) 111 Cal.App.5th 817, 824.) Defendants allege that Plaintiff has not established standing to sue as IRCC because only the Board of Directors can sue as IRCC, and Defendants are the board of directors. (Demurrer, pp. 4:12-17, 5:18-25.) It is true that the authority to manage the business and affairs of a corporation, including commencing or defending actions, is vested in its board of directors. (Corp. Code, § 300, subd. (a); see also Corp. Code, § 5410 [nonprofit public benefit corporation has all the powers of a natural person].)

Defendants’ first argument that IRCC does not have standing to be a plaintiff in this matter because the election of the most recent Board of Directors failed to comply with IRCC’s own bylaws fails. Defendants’ argument relies on an assumption that the most recent Board of Directors are acting as IRCC in this action, but the face of the complaint does not so allege or provide a basis for reaching that conclusion. Defendants also do not request judicial notice of any item to prove the assumption at the heart of this argument. As “[a] demurrer reaches only to the contents of the pleading and such matters as may be considered under the doctrine of judicial notice” (*South Shore Land Co. v. Petersen* (1964) 226 Cal.App.2d 725, 732.), the court cannot sustain Defendants’ demurrer based on an argument about the identity of the persons bringing suit; the pleadings simply do not show who filed the suit on behalf of IRCC.

Defendants also argue that only they would have standing to sue as IRCC because they have been acting as “de facto” Board members. It is clear from the face of the complaint that there is a dispute about who has authority to act as IRCC’s Board of Directors; Plaintiff’s FAC asks this court to make “a judicial determination and declaration that the current Board is duly elected pursuant to the IRCC By-Laws[.]” (FAC, ¶ 26.) The pleadings indicate that parties dispute the legitimacy of the most recent election of IRCC’s Board of Directors and consequently disagree about the composition of IRCC’s Board of Directors. The identities of the duly elected members of IRCC’s Board of Directors is a factual issue that cannot be resolved at the pleading stage. (See *Bath v. State of California* (2024) 105 Cal.App.5th 1184, 1201 [“Questions of fact cannot be decided on demurrer.”], internal citations omitted.)

Nor can the record support a finding that the IRCC’s current Board is illegitimate as a matter of law, as Defendants suggest. The bylaws of IRCC, included as an exhibit to the FAC, state in Article III, Section 3 that “[t]he directors shall be elected at each annual meeting of the members, and shall hold office until their respective successors are elected.” (FAC, Ex. A.) Plaintiff alleges that IRCC had a special meeting of members to elect a new Board, seemingly because “many of the alleged members of the Board, including the Defendants, were not legitimate IRCC Board members since they were never voted in by the membership at an annual meeting.” (FAC, ¶ 17.) The IRCC membership elected a new Board at a special meeting on January 11, 2025. (FAC, ¶ 20.) Then, on February 26, 2025, IRCC held the annual meeting required under the bylaws. (FAC, ¶ 21.) At the annual meeting, the members re-elected the new Board that was elected in January at the special meeting. (*Ibid.*) Thus, even assuming that Defendants are correct that the new Board could not be elected via the special

meeting, the FAC alleges that IRCC members duly elected the new Board at the annual meeting pursuant to Article III, Section 3 of the bylaws. The FAC alleges that the most recently elected Board of Directors were duly elected in accordance with IRCC's bylaws, which is sufficient to overcome Defendants' standing challenge.

At the demurrer stage, the court must take all facts in the complaint as true. (See *Align Technology, Inc. v. Tran* (2009) 179 Cal.App.4th 949, 958 ["the facts alleged in the pleading are deemed to be true, however improbable they may be."] [internal citations and quotations omitted].) Defendants' sole basis for demurring relies on facts that are in dispute and which cannot be decided at this stage. Accordingly, Defendants' demurrer is OVERRULED.

III. DISPOSITION

Defendants' demurrer is OVERRULED.

The court will prepare the Order.

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Calendar line 15

Case Name: *Lopez v. Ford Motor Company et al.*

Case No.: 25CV474936

Plaintiff Hosuwaldo Lopez (“Plaintiff”) purchased a 2021 F-250 (Subject Vehicle) on June 15, 2021 from Future Ford of Clovis (“Dealership”). (Complaint at ¶ 7.) Plaintiff delivered the Subject Vehicle to Dealership for substantial repair on at least one occasion. (*Id.* at ¶ 59.) Plaintiff alleges that Dealership “breached its duty to Plaintiff to use ordinary care and skill by failing to properly store, prepare, and repair the Subject Vehicle in accordance with industry standards.” (*Id.* at ¶ 61.) Plaintiff sued Dealership and Ford Motor Company on September 11, 2025. The sole cause of action alleged against Dealership is for negligent repair.

At issue is Dealership’s petition to compel arbitration, based on the Retail Installment Sales Contract (RISC) signed by Plaintiff and Dealership when Plaintiff purchased the Subject Vehicle. Having reviewed the language of the RISC’s arbitration provision and the circumstances of its execution, the court will grant the petition and stay the action.

LEGAL STANDARD

Dealership maintains that the FAA governs the Arbitration Provision based on the language itself and because the agreement affects interstate commerce. (Mtn. to Compel Arbitration at pp 6:25-7:1.) The arbitration provision states “[a]ny arbitration under this Arbitration Provision shall be governed by the Federal Arbitration Act (9 U.S.C. §§ 1 et seq.) and not by any state law concerning arbitration.” (Declaration of Trina Clayton [“Clayton Decl.”], Ex. A.) Under the FAA, the court’s role is limited to determining “(1) whether a valid agreement to arbitrate exists, and if it does (2) whether the agreement encompasses the dispute at issue.” (*Chiron Corp. v. Ortho Diagnostic Systems, Inc.* (9th Cir. 2000) 207 F.3d 1126, 1130.) To determine “whether a valid contract to arbitrate exists,” courts apply “ordinary state law principles that govern contract formation.” (*Davis v. Nordstrom, Inc.* (9th Cir. 2014) 755 F.3d 1089, 1093 [citations omitted]; see also *Ingle v. Circuit City Stores, Inc.* (9th Cir. 2003) 328 F.3d 1165, 1170.)

Code of Civil Procedure section 1281.2 provides: “On petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate a controversy and that a party to the agreement refuses to arbitrate such controversy, the court shall order the petitioner and respondent to arbitrate the controversy if it determines that an agreement to arbitrate the controversy exists, unless it determines that: [¶] The right to compel arbitration has been waived by the petitioner; or [¶] (b) Grounds exist for rescission of the agreement.”

In determining the threshold question of whether an arbitration agreement exists between the parties, the court employs a three-step burden shifting analysis. (*Iyere v. Wise Auto Group* (2023) 87 Cal.App.5th 747, 755 (*Iyere*); see also *Espejo v. Southern California Permanente Medical Group* (2016) 246 Cal.App.4th 1047, 1060.) The party seeking to compel arbitration bears the initial burden of showing an agreement to arbitrate. If that burden is met, the burden shifts to the opposing party to show a factual dispute regarding the agreement’s existence. If the opposing party does so, then the burden shifts back to the proponent of arbitration to show the existence of a valid agreement by a preponderance of the evidence. (*Iyere, supra*, 87 Cal.App.5th at p. 755.)

ANALYSIS

There is a Valid Agreement to Arbitrate

The arbitration provision in the RISC provides, in relevant part:

Any claim or dispute, whether in contract, tort, statute or otherwise (including the interpretation and scope of this Arbitration Provision, any allegation of waiver of rights under this Arbitration Provision, and the arbitrability of the claim or dispute), between you and us or our employees, agents, successors or assigns, which arises out of or relates to your credit application, purchase or condition of this Vehicle, this contract or any resulting transaction of relationship (including any such relationship with third parties who do not sign this contract) shall, at your or our election, be resolved by neutral, binding arbitration and not by a court action.

(Clayton Decl., Ex. A.) Plaintiff does not dispute that he signed the RISC when he purchased the Subject Vehicle. Plaintiff signed and acknowledged the following notice of the arbitration provision: “**Agreement to Arbitrate.** By signing below, you agree that pursuant to the Arbitration Provision on page 5 of this contract, you or we may elect to resolve any dispute by neutral, binding arbitration and not by a court action. See the Arbitration Provision for additional information concerning the agreement to arbitrate.” (*Ibid.*) The RISC further drew the arbitration provision to Plaintiff’s attention through the following disclaimer: “. . . YOU ACKNOWLEDGE THAT YOU HAVE READ BOTH SIDES OF THIS CONTRACT, INCLUDING THE ARBITRATION PROVISION ABOVE, BEFORE SIGNING BELOW.” (*Ibid.*) Plaintiff’s signature on these sections of the RISC indicates express assent to the arbitration provision. (See *Mendoza v. Trans Valley Transport* (2022) 75 Cal.App.5th 748, 777 [“ ‘ ‘A party’s acceptance of an agreement to arbitrate may be express, as where a party signs the agreement.’ ”].)

Plaintiff argues Dealership has failed to properly authenticate the RISC and thus fails to meet its burden of proving the existence of a valid agreement to arbitrate. “The moving party ‘can meet its initial burden by attaching to the [motion or] petition a copy of the arbitration agreement purporting to bear the [opposing party’s] signature. Alternatively, the moving party can meet its burden by setting forth the agreement’s provisions in the motion.’ ” (*Gamboa v. Northeast Community Clinic* (2021) 72 Cal.App.5th 158, 165, internal citations and quotations omitted.) Here, Dealership attached a copy of the RISC signed by Plaintiff as Exhibit A to the Declaration of Trina Clayton. Dealership has also set forth the terms of the Arbitration Provision in the motion itself. (Mtn. to Compel Arbitration at pp. 2:25-4:12.) In any event, “[f]or purposes of a petition to compel arbitration, it is not necessary to follow the normal procedures of authentication.” (*Gamboa, supra*, 72 Cal.App.5th at pp. 165-166.) Dealership has shown a valid agreement to arbitrate.

The Scope of the Arbitration Agreement Covers Plaintiff’s Claims

Here, the arbitration provision broadly applies to “any claim or dispute, whether in contract, tort, statute, or otherwise . . . which arises out of or relates to your . . . purchase or condition of this vehicle, this contract or any resulting transaction or relationship” (Clayton Decl., Ex. A.) Plaintiff’s sole cause of action against Dealership is a tort action for negligent repair. Plaintiff and Dealership are the parties to the transaction. Plaintiff’s action relates to the condition of the vehicle, namely the condition of the vehicle following repair by Dealership. That the allegedly negligent repair occurred after the parties signed the RISC is

ultimately irrelevant because the arbitration provision states it applies to both “this contract” and “any resulting transaction or relationship” between the parties. Plaintiff’s claim against Dealership is covered by the arbitration provision.

Plaintiff relies on *Ford Motor Warranty Cases* (2025) 17 Cal.5th 1122 to argue “warranty performance is not arbitrable through the form Sales Contract proffered by [Dealership].” (Opposition at p. 2:8-10.) That opinion is distinguishable. *Ford Motor Warranty Cases* involved an attempt by an automobile manufacturer to compel arbitration based on a sales contract between a buyer and a dealership to which the manufacturer was not a party. The Supreme Court rejected the manufacturer’s attempt to compel arbitration on a third party equitable estoppel theory. (*Id.* at p. 1126.) By contrast, here the entity petitioning to compel arbitration is a party to the contract containing the arbitration provision. The RISC is an agreement Plaintiff entered into with Dealership. As the dealership and a party to the agreement, Dealership may compel arbitration of Plaintiff’s claims.

The court does not reach Dealership’s arguments about lack of waiver and lack of unconscionability. Plaintiff forfeited any argument about waiver and unconscionability by not addressing Dealership’s arguments on those points.

This Action is Stayed in its Entirety

Dealership requests a stay of the entire action. As Dealership notes, Plaintiff has sued two entities, Ford Motor Company and Dealership, for different causes of action. Dealership argues “[p]roceeding against both defendants in separate forums carries an extremely high risk of rendering inconsistent rulings and rendering arbitration as to [Dealership] ineffective.” (Reply at p. 8:22-23.) Plaintiff has not offered any arguments opposing a stay to the entire action. A stay of these proceedings is proper under Code of Civil Procedure § 1281.4 and 9 U.S.C. § 3. The court STAYS this action in its entirety pending the outcome of arbitration.

DISPOSITION

The Motion to Compel Arbitration is GRANTED. This action is STAYED in its entirety pending the outcome of arbitration.

The court will prepare the order.